



FLIGHT RISK

● Vistara is scaling down operations by 25–30 flights per day from April due to a shortage of crew

● The airline's new pay structure has caused discontentment among pilots, but the management claims 98% of them are now on board

● Earlier in the month, Vistara resorted to mass cancellations, resulting in its on-time performance nosediving to 50% levels

● To address the issues, it has deployed larger aircraft like the B787-9 Dreamliner and A321neo to accommodate more passengers

A similar incident occurred during the Air India-Indian Airlines merger in 2007. The operating models of airlines, according to industry experts like Rajat Sharma, CEO of Sana Securities, are a major cause of flight delays and mass cancellations in India. "Airlines are operating at wafer-thin margins. In most cases, they have minimal crew. So, even when a handful of the crew members don't show up for duty, their schedule gets disrupted," he says.

Meanwhile, the Vistara management claims that the airline has managed to control the situation. CEO Vinod Kannan announced on April 6 that 98% of its pilots have signed the new pay contract. "We are addressing this on a war footing. Hence, we are continuing to hire more pilots and are also carefully scaling back our operations slightly to provide the much-needed resilience and buffer in the rosters," Kannan said in a statement. "We have also deployed larger aircraft like our B787-9 Dreamliner and A321neo aircraft on select do-

mestic routes to accommodate more customers wherever possible," he added. **| 21**

While Vistara's OTP improved to 80% the next day, challenges still persist since some of its pilots continue to have concerns regarding the contract, which the Vistara management is trying to resolve. The airline has decided to cut 10% of its flights beginning April 7 to prevent any significant decline in its OTP and last-minute cancellations.

Scaling down of operations by Vistara, according to experts, is expected to further push up airfares by 10–20% in a peak demand season like summer. Vistara controls 9.9% of domestic air traffic. Over the past few quarters, the local aviation market has been facing a supply crunch, as market leader IndiGo had to ground nearly 75 aircraft due to Pratt & Whitney engine issues and Go First going bankrupt. And, now with the pilot crunch in the Vistara cockpit, the summer could be harsh for passengers. **BT**

@arndutt